

Your grade: 100%

Your latest score is 100%. You need at least 60%. We keep your highest score.

Next item →

1. The abstract of Paul Zarowin's paper "Size, Seasonality, and Stock Market Disconnect" was published in Volume 26, No. 1, March 1996 issue of Journal of Financial and Quantitative Analysis is given below. Abstract: Recent research finds that **trading strategies based on price momentum** generate positive returns to help predict stock return performance in the subsequent period. This potential violation of the efficient markets hypothesis is linked to the "seasonality" phenomenon. The paper shows that the tendency for losses in capital markets is not due to investor overreaction, but to the tendency for losses to be smaller and more frequent than gains. When losses are compared to returns of equal size, there is little evidence of any return abnormality, and in some cases, a trading strategy that can earn profits. Why is this a violation of the efficient markets hypothesis? Answer: Because the market is not efficient. ☐ correct ☐ incorrect ☐ Retry

2. The abstract of Paul Zarowin's paper "Size, Seasonality, and Stock Market Disconnect" was published in Volume 26, No. 1, March 1996 issue of Journal of Financial and Quantitative Analysis is given below. Abstract: Recent research finds that **the price pattern's worst stock return performance** (earnings) outperform the prior period's best return performance (earnings) in the subsequent period. This potential violation of the efficient markets hypothesis is linked to the "seasonality" phenomenon. The paper shows that the tendency for losses in capital markets is not due to investor overreaction, but to the tendency for losses to be smaller and more frequent than gains. When losses are compared to returns of equal size, there is little evidence of any return abnormality, and in some cases, a trading strategy that can earn profits. Based on this paper abstract, a trading strategy that can earn profits is: Answer: **100%** ☐ correct ☐ incorrect ☐ See feedback

3. The abstract of Paul Zarowin's paper "Size, Seasonality, and Stock Market Disconnect" was published in Volume 26, No. 1, March 1996 issue of Journal of Financial and Quantitative Analysis is given below. Abstract: Recent research finds that **the price pattern's worst stock return performance** (earnings) outperform the prior period's best return performance (earnings) in the subsequent period. This potential violation of the efficient markets hypothesis is linked to the "seasonality" phenomenon. The paper shows that the tendency for losses in capital markets is not due to investor overreaction, but to the tendency for losses to be smaller and more frequent than gains. When losses are compared to returns of equal size, there is little evidence of any return abnormality, and in some cases, a trading strategy that can earn profits. Based on this paper abstract, a trading strategy that can earn profits is: Answer: ☐ correct ☐ incorrect

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5. Gerdien Oorschip, Ben Jacobsen, and Benjamin Neale published the paper titled "Thinking as if Another Period" in issue 3, Volume 88 of Journal of Financial Economics. The abstract of the paper is given below. Changes in off-price predict stock market returns worldwide. We find significant predictability in both developed and emerging markets. These results cannot be explained by time-varying risk premia as all price changes also significantly predict negative excess returns. Investors seem to underreact to information in the price of off-price. A rise in off-price eventually lowers future stock returns. Consistent with the hypothesis of a delayed reaction by investors, the relation between monthly stock returns and lagged monthly off-price changes disappears once we introduce lags of several trading days between monthly stock returns and lagged monthly off-price changes. Based on the information given in the abstract, if the price of off-price decreases this month, what will happen to the stock market return next month? Answer: ☐ correct ☐ incorrect

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9. Which of the following is not a section in an academic paper? Answer: ☐ correct ☐ incorrect

10. What is the process of analyzing data from different perspectives and summarizing it into useful information that can be used to create trading strategies? Answer: ☐ correct ☐ incorrect
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- 1/1